.IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-VI

C.P (CAA)/73 (PB)/2021.
IN
CA (CAA) 8/PB/2020.

(Under Section 230-232 of the Companies Act, 2013 read with read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016*)*

IN THE MATTER OF SCHEME OF AMALGAMATION

M/S. PIONEER FIRE PROTECTION PRIVATE LIMITED.
Regd. Office: C-55, DSIDC Industrial Complex, Tilak Vihar, Tilak Nagar, Delhi-110018**.**

....Petitioner No.1/
Transferor Company

WITH

M/S. AGNI DEVICES PRIVATE LIMITED.
Regd. Office A-48, DDA Keshopur Industrial Area, Vikas Puri, New Delhi-11001.

....Petitioner No.2/
Transferee Company

CORAM:
SH. MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioner:	:Adv. Nupur A Goswami
Advs. for the RD :	:Adv. Shankari Mishra, Adv. Niharika Tanwar
For the OL :	Ms. Hemlata Rawat Counsel
For the IT Department:	None

ORDER

PER: MAHENDRA KHANDELWAL, MEMBER (JUDICIAL)

Date: 07.11.2023

1. This joint petition has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the Transferor Company into the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.
2. The Transferor Company /Petitioner No.1, M/s Pioneer Fire Protection Limited, bearing CIN: U29193DL2008PTC183833 was incorporated on 29.09.2008 under the provisions of the Companies Act, 1956 having its registered office situated C-55,

DSIDC Industrial Complex, Tilak Vihar, Tilak Nagar, Delhi-110018.

3. The Transferee Company/Petitioner No.2, M/s. Agni Devices Private Limited, bearing CIN: U25299DL1999PTC099153 was incorporated on 13.07.2000 under the provisions of the Companies Act, 1956 having its registered office situated at A-48, DDA Keshopur Industrial Area, Vikas Puri, New Delhi West Delhi-110018

4. The Petitioner Companies submitted that the Proposed amalgamation as envisaged in the Scheme, will achieve the following objectives:

    a) The amalgamation will enable the two Companies to consolidate their business operations and provide significant impetus to their growth since both the Companies are engaged in similar/complimentary line of business to considerable extent i.e. manufacturing marketing, trading, designing, assembly, repairing, servicing, export, import, stockiest, dealer, and contractors of fire protection equipment of various types for industrial and domestic use;
    b) The Transferor Company and Transferee Company have common promoters/ shareholders, the proposed amalgamation (in the nature of merger) shall consolidate shareholdings of the common promoters/ shareholders to a larger extent.
    c) The nature of businesses of both the transferor company as well as the transferee company is similar in nature and transactions. The merger of both the companies shall lead to synergy benefits for better utilization of resources, capacities and energies involved in the applicant companies

d) The merger shall lead to reduction in time and costs involved, which shall benefit the applicant companies to a larger extent.

5. The appointed date as fixed for the proposed scheme of Amalgamation means 01.04.2020 or such other date as may be directed by any appropriate authority being the date with effect from which this scheme shall be deemed to be effective.

6. A perusal of the petition discloses that the first motion application bearing CA(CAA) 8/(PB)/2020, was jointly filed by the Petitioner Companies. Based on the averments made in the said application the Tribunal pass an order on 14.10.2020 dispensing with the requirement of convening and holding of the following meetings

   i. Meeting of Secured Creditors of Transferor Company

   Further, directed the convening of the following meetings

   i. Meeting of Equity Shareholders of both Transferor and Transferee Company
   ii. Meeting of Unsecured Creditors of Transferor and Transferee Company
   iii. Meeting of the Secured Creditors of the Transferee Company

   Ms. Anil Kumar Jain, Advocate was appointed as the chairperson, Mr. Rishab Jain, Advocate, as Alternate Chairperson; and Mr. Naman Jain, as Scrutinizer to conduct the aforementioned meeting. In compliance with the order, the

Transferor Company duly convened a meeting of its unsecured creditors on 27.11.2020. The above meetings were convened in person with an option to attend through video conferencing and option for remote e-voting and e-voting at the venue, where the Scheme was approved.

7. This Tribunal directed the petitioner companies to issue notices to the (i) Regional Director, Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi and Haryana, (iii) Official Liquidator, Lok Nayak Bhavan, Delhi (iv)concerned Income Tax Department. Further, the petitioner companies were directed to carry out the publication of advertisement in Delhi editions of 'Business Standard (English, Delhi Edition) and 'Business Standard' (Hindi, Delhi Edition). The Petitioner Companies have filed affidavit of service and paper publication evidencing service of notice and proof of publication of the advertisement in Delhi editions of 'Business Standard' (English, Delhi Edition) and 'Business Standard (Hindi, Delhi Edition) on 30.07.2021.

8. Pursuant to the notice issued to the Statutory Authorities, Official Liquidator and RD/RoC participated in the proceedings.

9. The Official Liquidator has filed his report dated 04.07.2022 wherein no specific objection has been raised against the approval of the Scheme. It has been submitted in the report that the Official Liquidator has not received any complaint against

the proposed Scheme from any shareholders, unsecured creditors or other stakeholders related to the Scheme in any manner.

10. The RD has filed its report dated 17.01.2023, wherein some observations were made to which petitioner company has filed its response. Vide order dated 13.09.2023, it was noted as follows: -

> *Ld. Counsel on behalf of the RD is present and submitted that they are satisfied with the response given by the Petitioner in respect of their observation.*

11. Income Tax was set ex-parte vide order dated 11.05.2023. However, be that as it may, the petitioner companies were directed to meet the tax liability if any demanded as per law.

12. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

13. Certificates of respective Statutory Auditors of all the petitioner companies, have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with

Rule 7 of the Companies Accounts Rules. 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

14. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

15. It has also been affirmed in the petition that the Scheme is in the interest of the transferor company and the transferee company, including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

16. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following conditions.

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, it is further clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

(iv) The Income Tax Authorities have not submitted their reports. Be that as it may, the petitioner companies were directed to meet the tax liability if any demanded as per law.

(v) The appointed date as proposed in the Scheme of Amalgamation i.e., 01.04.2020 by the petitioner companies, however this Tribunal approves and confirms 01.04.2023 as appointed date.

17. This Tribunal hereby further order

i. *That the Transferor Company shall stand dissolved without following the process of winding-up; and*

ii. *That all the property, rights and powers of all the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company; and*

iii. *That all the liabilities and duties of all the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

iv. *That all proceedings now pending by or against the Transferor Company, be continued by or against the transferee company; and*

v. *That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the transferee company on such date, without any break or interruption in service and upon terms and condition not less*

favorable than those subsisting in the concerned Transferor Company on the said date; and

vi. *That Petitioner companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file, kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and*

vii. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

18. The petition stands disposed of on the above terms. Let copy of the order be served to the parties.

SD/-	**SD/-**
(RAHUL BHATNAGAR)	**(MAHENDRA KHANDELWAL)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**